value of a hundred important stocks all lumped together, so an S&P-100 option was a gamble on the direction that the index might take over a short period of time.

There were similar baskets from rival indexes, and new indexes options were being invented every other month it seemed, but the S&P-100 was the one I picked, following Mr. Crawford's advice.

At the various futures and options exchanges, such as the one I snuck through earlier, they bought and sold contracts on numerous index options at different prices and settlement dates in the future. For instance, a March 225 contract gave me the right to pay $225 for one unit of the index, or "basket of stocks," from now until the moment the contract expired, or in this case, the third Friday in March. During this period, if the stocks in the S&P-100 Index increased in value, then so would my option. If the stocks decreased in value, then so would my option, until eventually the option became worthless.

Actual "baskets" of stocks were never delivered to the holders of options, just as actual pork bellies are rarely delivered to traders in the futures markets. The entire exercise was hypothetical, with buyers and sellers settling in cash sometime before the expiration dates.

Since the reader may also have heard of stock-index futures, I must clarify the distinction between those and the options. A future is an agreement to buy something later at a price agreed upon today. In futures contracts, both parties are obligated to the transaction and committed to the fate of the merchandise in question, whether it be a carload of pork bellies or a basket of stocks. If the prices go against them, they can lose much more than their original investment.

An option is really a contract for a contract. It gives the buyer the right to purchase something that may be valuable—in this case a basket of stocks—without obligating that buyer to carry through with the transaction. If the deal turns out to be unfavorable, the options buyer only lost the price he or she paid for the option in the first place. In this way, buying an option was safer than buying a future. Relative to a future, an option could even be called conservative, since the options buyer could only lose his entire original investment and not a penny more.

In this instance, I'd bought five options on five baskets of S&P-